- an average of more than $19,000 per vehicle per month for Pakistani navy reimbursement claims that appeared to contain duplicative charges for a fleet of fewer than 20 passenger vehicles.

We also found that additional oversight controls were needed. Comptroller guidance calls for a historical comparison of claimed costs; however, the Comptroller's instructions do not indicate how this comparison should be performed. In addition, we found that there is no guidance for Defense to verify currency conversion rates used by Pakistan, which if performed would enhance Defense's ability to monitor for potential overbillings.

Defense's 2003 guidance does not specifically task ODRP with attempting to verify Pakistani military support and expenses, despite recognition by Defense officials in Washington and CENTCOM that such verification is best performed by U.S. officials in Pakistan, who have access to Pakistani officials and information. As such, ODRP did not try to verify Pakistan CSF claims from January 2004 through August 2006. Beginning in September 2006, without any formal guidance or directive to do so from CENTCOM or the Comptroller, ODRP began an effort to validate Pakistani military support and expenses. This increased verification effort on the part of ODRP contributed to an increase in the amount of Pakistani government CSF claims disallowed and deferred. Prior to ODRP's increased verification efforts, the average percentage of Pakistani claims disallowed or deferred for January 2004 through August 2006 was almost 3 percent. In comparison, the average percentage of Pakistani claims disallowed or deferred for September 2006 through February 2007 was 6 percent, and for the most recent claims (March 2007 through June 2007), processed in February 2008, was approximately 22 percent. For example, ODRP observed poor readiness rates of Pakistani helicopters and recommended deferring payment for helicopter maintenance that had been routinely reimbursed. However, ODRP's continued oversight activity is not assured. As of May 2008, Defense had not developed formal guidance delineating how and to what degree ODRP should attempt to verify Pakistani military support and expenses.

To improve CSF oversight, we are recommending that Defense consistently implement existing oversight criteria, formalize the roles and responsibilities of ODRP, work with the government of Pakistan to gain greater access, clarify guidance for cost fluctuation analysis, and develop criteria to evaluate the effect of currency exchange rates on reimbursement claims. Defense generally concurred with our recommendations, and indicated they had updated their CSF guidance to incorporate our recommendations. We plan to review this guidance when it is made available to us.

Defense provided written comments on the report, which are reproduced in appendix II. We also met with cognizant officials from Defense to discuss their comments and observations. Defense provided technical comments and updates which we incorporated throughout the report, as appropriate.

Defense's comments noted that our report did not give sufficient weight to (1) Pakistan's military contributions enabled by CSF; (2) the Department's adherence to the law; and (3) Pakistan's accounting standards. Our report does reflect Pakistan's contributions and the role of CSF, and states that Congress gave Defense broad authority to make CSF payments. Regarding Pakistan's accountability standards, we acknowledge that there are limitations in any arrangement with another sovereign nation, but note that Pakistan provided more detailed documentation to support their claims after a request from the Comptroller in 2006.

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